

Fusion growth: sentiment tilt fails to beat the base fund

Growth of USD 1 for Equity Minimum Variance versus lagged sector-sentiment tilt, Jan 2021-Dec 2023.



Fusion scorecard

Base versus sentiment tilt

Model	Ret	Vol	Shp	DD	\$1
Base	7.0%	12.8%	0.55	-18%	1.23
Sentiment Tilt	6.2%	12.8%	0.48	-18%	1.20

Read-through

The tilt lowers Sharpe by -0.07 and finishes below the base fund. This is a useful negative result rather than a hidden failure.

Source: NovaAlloc results/data/fund_returns.csv, fusion_fund_returns.csv and results/tables/fusion_comparison.csv.
Note: Sentiment weights use lagged sector z-scores, so the comparison is out-of-sample.